

ZOOMING DEMAND Villagers engaged in MGNREGA work in Tikri village, Varanasi, Uttar Pradesh



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SANJIV MEHTA
MD & CEO, Hindustan Unilever

cent share in the GDP, went up from Rs 11.6 lakh crore in Q1FY22 to Rs 18 lakh crore in Q1FY23. Government consumption spend rose only to Rs 7.3 lakh crore in Q1FY23 compared to Rs 6.6 lakh crore in Q1FY22. The cloud of global recession and frequent rate hikes by the US Federal Reserve aren't helping matters either.

Until June, FMCG companies had also been calling out the weak rural demand. Post the June quarter results, Sanjiv Mehta, MD & CEO of Hindustan Unilever, had told investors, "In the June quarter, markets have grown in mid-single digits driven by price growth. Volumes continued to decline. Rural growth continues to lag growth in urban markets. We should also keep in mind that optically, on an year-on-year basis, the June quarter looks better than the March quarter, but that is on a low base of 2021 where the country was going through the second wave of Covid." The demand environment remained stressed in view of the heavy inflation, which saw consumers switch to more affordable, smaller packs of branded consumer goods, Dabur India chief executive officer Mohit Malhotra revealed as the company declared its Q1 results.

However, in August, following good rains in July, demand for FMCG products in rural India grew 6.7 per cent in value over July, according to analysts studying firms' earnings. The finance ministry is also sensing a revival of demand, especially in Tier 2 and 3 cities. Demat accounts (needed to trade in the stock markets) topped the 100 million mark for the first time in August, from 40.9 million in March 2020 before the pandemic. And a lot of the additions have come from small-town India, according to the finance ministry. The onset of the festive season is also expected to bring cheer and make consumption more broad-based.

THE ANTIDOTE

Any optimism, though, has to be tempered with a healthy dose of caution. Diagnosing the shape of the recovery correctly will be the first step to determine the nature of interventions.

"Inflation," says Garg, "is the biggest stress point. It adversely affects the lower strata of people. The rich don't get as affected." India's retail inflation rose to 7 per cent in August, breaching the RBI's tolerance limit of 6 per cent for the eighth consecutive month. To rein in the inflation, the RBI has been steadily hiking interest rates.

However, for Union finance minister Nirmala Sitharaman, India's inflationary pressure is not a "red-letter priority"; job creation and equitable wealth creation are. To reduce the fiscal burden on the government and the states, and free up capital for investments that could trigger growth and jobs, a debate is brewing on whether the free foodgrain scheme that was started during the pandemic ought to continue. At the same time, economists find moves such as hiking export duties on rice and wheat as counter-productive as they may further impact farmers' incomes. They recommend that the Centre and the states implement other measures to boost economic activity, such as rationalising food, health and education subsidies.

Low demand is also affecting private investment, which remains subdued. "MGNREGA should be extended to the population as a whole, or a corresponding scheme implemented in urban India," says Srivastava.

MSME associations, meanwhile, are seeking more support to access credit. A further streamlining of paperwork could reduce compliance costs for small businesses. In an effort to increase tax revenues, filing and reporting requirements for business have seen a massive increase, which is contrary to the stated objective of ease of doing business. The Inspector Raj is still rampant, and while big businesses can hire an army of compliance experts, such a recourse hurts the competitiveness of small businesses and entrepreneurs.

Rationalising petrol prices is another option before the government, as the excise on petrol remains high. A boost to sectors such as renewables can also reduce the country's energy dependency. The US, for instance, has come up with a slew of incentives for semi-conductors; Congress passed the CHIPS Act in July 2022 to strengthen domestic semiconductor manufacturing. India, too, has a semi-conductor policy, but analysts say it could be further incentivised.

The double-digit growth number for the quarter cannot disguise the fact that the Indian economy is still not out of the woods. The next phase of policies should strive to correct the inequalities that the pandemic aggravated. Only then will India's growth become more meaningful. ■